

6-3a The Benefits of Direct Ownership

Remember the key word of FDI is D (direct) and it requires a significant equity ownership position. The benefits of ownership lie in the *combination* of equity ownership rights and management control rights. Specifically, it is significant ownership rights that provide much needed management control rights. In contrast, FPI represents essentially insignificant ownership rights but no management control rights. To compete successfully, firms must deploy overwhelming resources and capabilities to overcome their liabilities of foreignness (see [Chapters 1](#) and [4](#)). FDI provides one of the best ways to facilitate such extension of firm-specific resources and capabilities abroad.